


Bank of Kigali Announces Q1 2013 Reviewed Results
Kigali, 31 May 2013

	As at 31 March 2013		Change	
	US\$ (mln)	RwF (bn)	Q-o-Q	Y-o-Y
Total Assets	517.2	336.4	4.2%	11.0%
Net Loans	305.1	198.4	7.2%	49.9%
Client Balances & Deposits	323.0	210.1	0.8%	3.1%
Total Liabilities	414.8	269.8	3.9%	13.3%
Shareholders' Equity	102.4	66.6	5.5%	2.7%

	Q1 2013		Change	
	US\$ (mln)	RwF (bn)	Q-o-Q	Y-o-Y
Total Operating Income (Revenue)	18.1	11.8	0.3%	35.8%
Total Operating Costs	8.7	5.7	(10.1%)	45.7%
Profit Before Provisions	9.4	6.1	12.4%	27.7%
Net Income (Loss)	5.3	3.5	20.2%	7.1%

	Q1 2013	YE 2012	Q1 2012	YE 2011
Net Loans/Total Assets	59.0%	57.3%	42.8%	45.8%
Net Loans/Total Deposits	86.8%	81.6%	61.5%	63.3%
Basic Book Value per share (RwF)	99.8	94.6	92.3	86.2
ROAA, Annualised	4.2%	3.9%	4.4%	3.6%
ROAE, Annualised	21.4%	18.9%	20.5%	18.6%
Basic EPS, (RwF)	20.8	17.7	19.4	15.6

The following exchange rates have been used for the translation of the Bank's financial statements

	31-Mar-13	31-Dec-12	31-Mar-12	31-Dec-11
RwF/US\$ Period End Exchange Rates	650.4	630.6	607.1	604.4

Y-o-Y and Q-o-Q growth calculations are based on Rwandan Franc values. US\$ values have been derived from period-end RwF/US\$ exchange rates. Quarterly numbers in this press release are reviewed numbers in accordance with Instruction Number 12/2000 of 14 September 2000 issued by the National Bank of Rwanda.

About Bank of Kigali Limited

Established in 1966, Bank of Kigali is the largest bank in Rwanda by total assets, with a 34% market share as of 31 March 2013. The Bank has 60 branches and outlets in Rwanda and five Mobile banking vans. The Bank provides retail and commercial banking services to over 215,000 individuals and over 22,000 legal entities.

In 2011, the Bank became the second domestic company to be listed on the Rwanda Stock Exchange. Since 2009, the Bank has been recognized for four years running as the Best Bank in Rwanda by *Emeafinance* and Bank of the Year by The Banker. In 2011 it was also recognized as the Company of the Year by the Kenya Institute of Management Rwanda. In 2012, it was further bestowed with the Best East African Bank Award by the African Banker magazine as well as the Best Financial Reporting Company in Rwanda at the annual Financial Reporting Awards (FiRe) held in Nairobi, Kenya. The Bank's initial public offer in 2011 was recognized as the Best African Listing by Africa Investor (AI).

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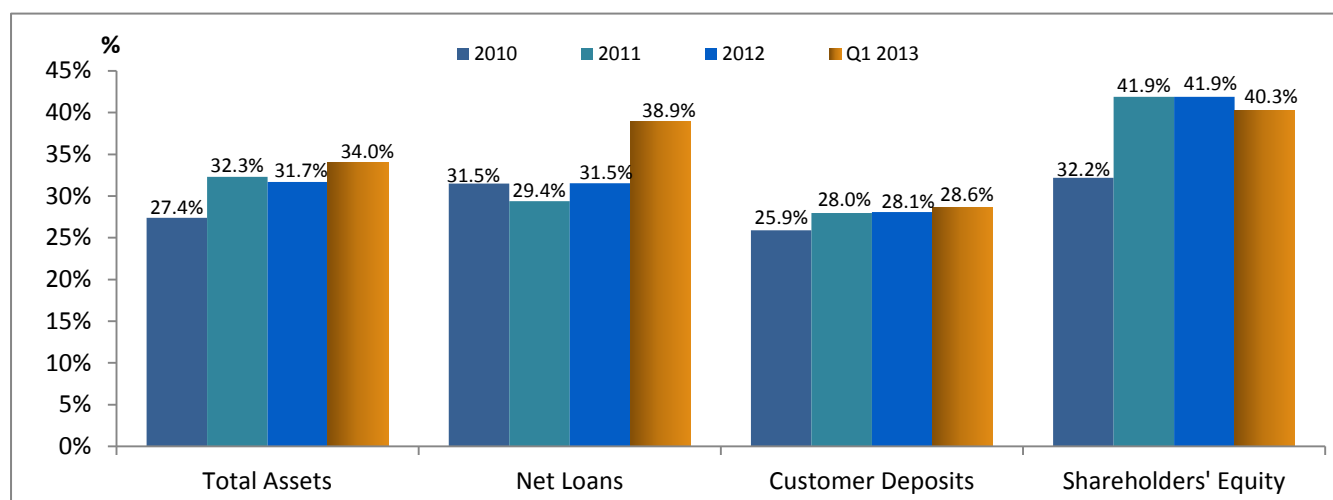
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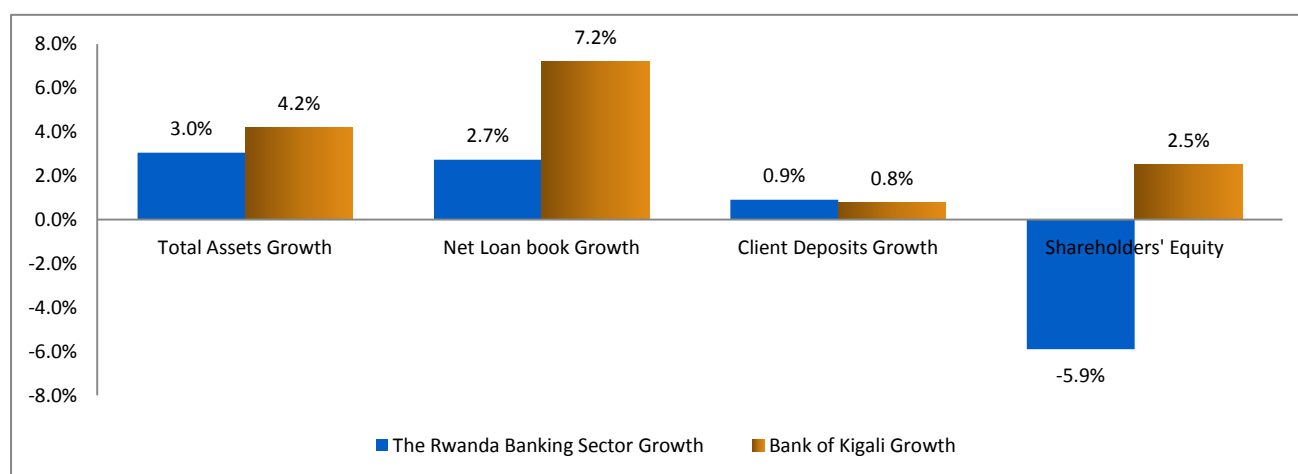
Bank of Kigali (the “Bank”), the leading bank in Rwanda, announced today its IFRS-based results, reporting Net Income of RwF 3.5 billion (US\$5.3 million) for the first quarter ending 31 March 2013, an increase of 20.2% q-o-q and 7.1% y-o-y.

- Total Assets grew by 4.2 % q-o-q and 11.0% y-o-y to RwF 336.4 billion (US\$ 517.2 million) as at 31 March 2013
- Net Loans rose by 7.2% q-o-q and 49.9% y-o-y to RwF 198.4 billion (US\$ 305.1 million) as at 31 March 2013
- Client Balances & Deposits rose by 0.8% q-o-q and 3.1% y-o-y to RwF 210.1 billion (US\$ 323.0 million) as at 31 March 2013
- Shareholders’ Equity grew by 5.5% q-o-q and 2.7% y-o-y to RwF 66.6 billion (US\$ 102.4 million) as at 31 March 2013

Bank of Kigali Market Share Dynamics*



Bank of Kigali Growth vs. Rwandan Banking Sector Growth Year to Date (YTD)



*Market share calculations are based on unreviewed Q1 2013 banking industry figures.



Q1 2013 Financial Highlights

Net Interest Income reached RwF 7.6 billion; a growth of 48.3% y-o-y driven by growth in both corporate and retail lending. Net Interest Margin was 11.2%, up from 8.2% in Q1 2012. Net Fee & Commission Income amounted to RwF 2.3 billion, up 7.3% q-o-q and 69.9% y-o-y. Total Operating Income was RwF 11.8 billion in Q1 2013, up 0.3% q-o-q and 35.8% y-o-y mainly due to growth in net interest income.

Total Operating Costs amounted to RwF 5.7 billion, down 10.1% q-o-q, but up 45.7% y-o-y as a result of a significant investment in branch expansion and alternative delivery channels in the period since March 2012. Cost/Income Ratio rose to 48.0% in Q1 2013 from 44.7% in Q1 2012, but fell from 53.6% in Q4 2012. The Bank reported quarterly Net Income of RwF 3.5 billion in Q1 2013, up 7.1% y-o-y. Annualised ROAA stood at 4.2%, whereas annualised ROAE stood at 21.4%, compared to 4.4% and 20.5%, respectively, in Q1 2012.

The Bank's total assets stood at RwF 336.4 billion, an increase of 4.2% q-o-q and 11.0% y-o-y. Gross Loans grew by 7.7% q-o-q and 51.6% y-o-y to RwF 208.8 billion. Net Loans increased by 7.2% q-o-q and 49.9% y-o-y to RwF 198.4 billion as at 31 March 2013. Net Loans/Total Assets ratio increased to 59.0% as at 31 March 2013 from 57.3% as at 31 December 2012 and 43.7% as at 31 March 2012. Client Balances & Deposits reached RwF 210.1 billion, increased by 0.8% q-o-q and 3.1% y-o-y. Shareholders' Equity as at 31 March 2013 equalled RwF 66.6 billion, up 5.5% q-o-q and 2.7% y-o-y. Liquid Assets divided by Total Deposits stood at 44.8% as at 31 March 2013, down from 45.4% as at 31 December 2012 and 63.8% as at 31 March 2012.

Business Highlights

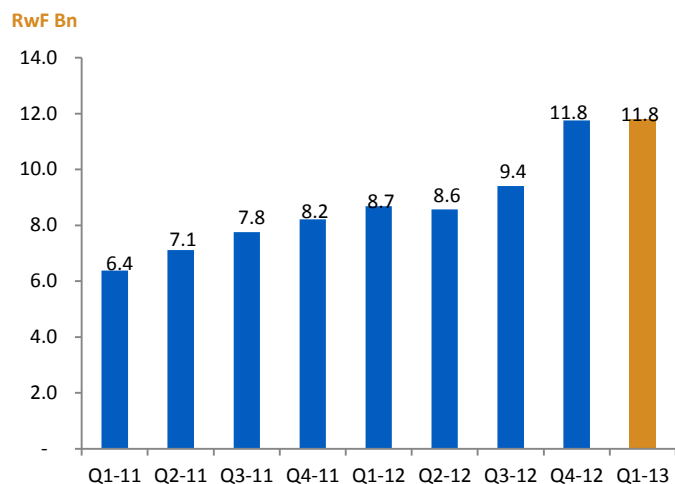
- The Bank opened a representative office in Nairobi, Kenya as part of a wider move to grow its regional footprint in the East African Community countries
- In line with realising the Bank's vision of offering universal 'One Stop Shop' financial services to all its clients, the Bank officially launched BK Securities Limited, a wholly-owned stock brokerage firm in January 2013.
- The Bank expanded its branch network to 60 branches and increased its self-service channel capacity to 59 ATMs and 484 Point-of-Sale terminals
- 6,551 debit cards were issued in Q1 2013, bringing the total number of debit cards in circulation as at 31 March 2013 to 68,888
- The Bank added the MoneyGram franchise to international money transfer services which enables clients to send and receive money worldwide through any of the Bank's branches
- Over 23,000 retail and more than 2,100 corporate current accounts were opened during Q1 2013. Retail deposits were up 9.1% q-o-q and 17.1% y-o-y, reaching RwF 68.7 billion, while corporate deposits decreased slightly by 2.7% q-o-q and 2.3% y-o-y to RwF 141.4 billion
- Our retail gross loan book increased by 8.9% q-o-q and 38.1% y-o-y to RwF 67.0 billion as a result of increased mortgage and consumer lending, while the corporate gross loan book increased by 7.1% q-o-q and 58.9% y-o-y to RwF 141.8 billion

"We are pleased with our performance during the quarter. We increased our lending to both corporate and retail customers given our access to long term lines of credit. With our entry into Kenya, we look to extend our broad product offering to corporate entities in East Africa as we seek to unlock further trade and investment opportunities in the region", commented **Dr. James Gatera, Chief Executive Officer**.

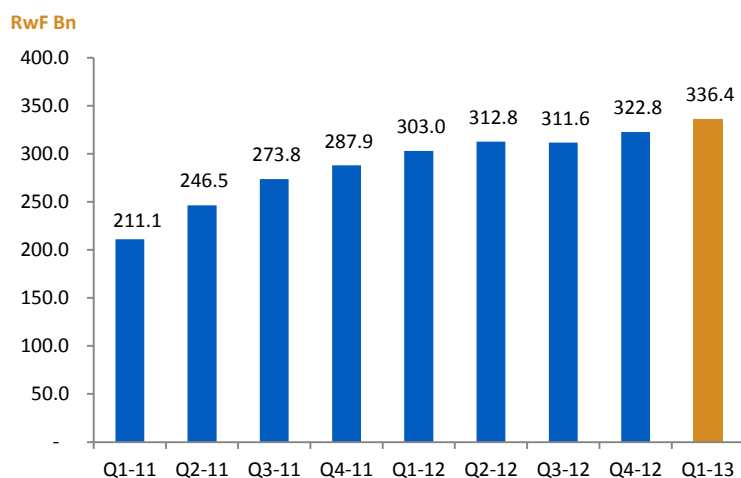


Q1 2013 Performance Highlights

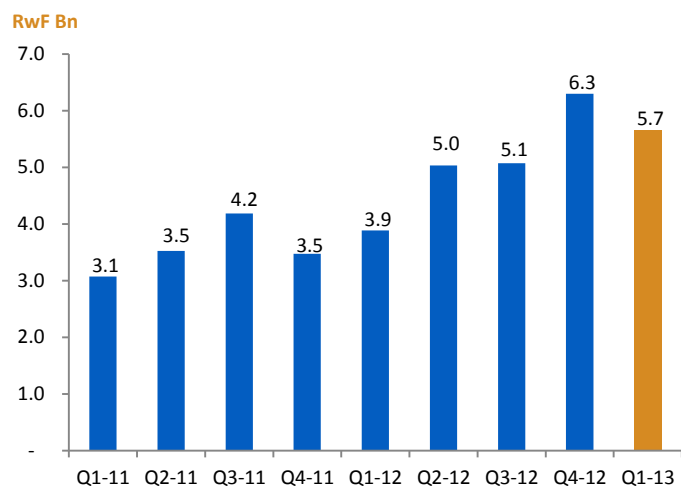
Total Operating Income



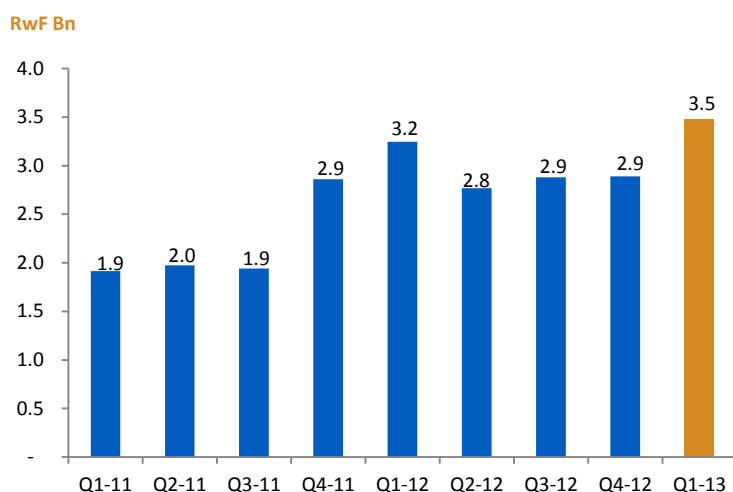
Total Assets



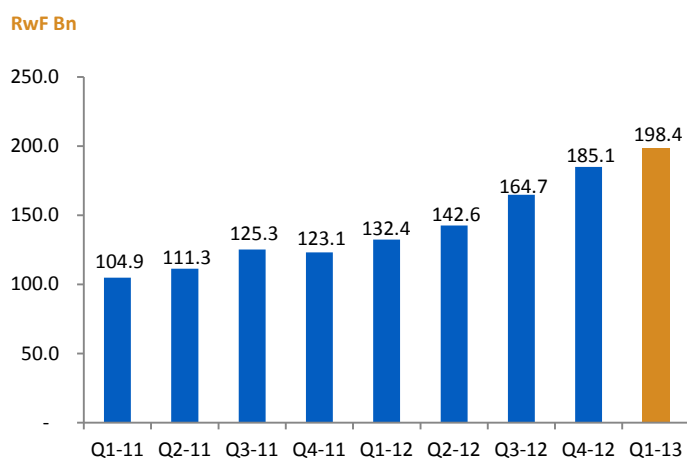
Total Operating Costs



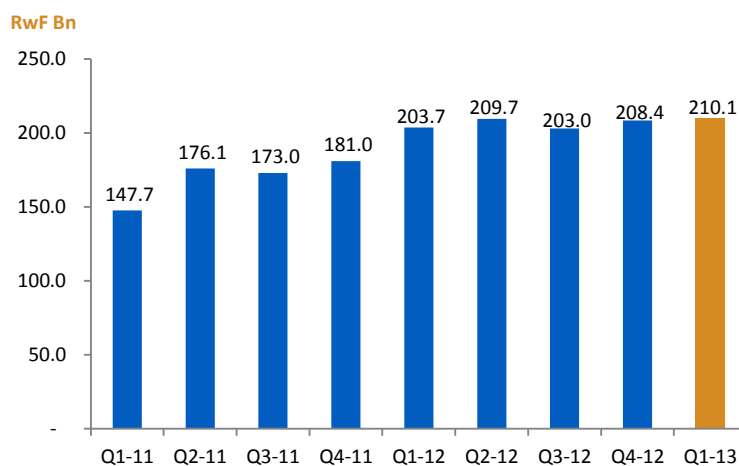
Net Income



Net Loans



Client Balances & Deposits





Income Statement
For the Period Ended 31 March 2013

<i>IFRS based</i>	Q1 2013		Q4 2012		Q1 2012		Growth,	Growth,
	RwF (Bn)	US\$ (Mln)	RwF (Bn)	US\$ (Mln)	RwF (Bn)	US\$ (Mln)	Q-o-Q	Y-o-Y
<i>RwF/Euro Exchange Rate, e-o-p</i>	832.4		835.6		805.5			
<i>RwF/US\$ Exchange Rate, e-o-p</i>	650.4		630.6		607.1			
Interest Income	9.6	14.7	10.5	16.7	6.7	11.1	(9.0%)	41.9%
Interest Expense	2.0	3.1	2.6	4.2	1.6	2.7	(23.0%)	22.2%
Net Interest Income	7.6	11.6	7.9	12.5	5.1	8.4	(4.3%)	48.3%
Net Fee & Commission Income	2.3	3.5	2.1	3.4	1.4	2.2	7.3%	69.9%
Net Income From Documentary Operations	0.0	0.1	(0.1)	(0.2)	0.1	0.2	(129.9%)	(64.0%)
FX Trading Income	1.6	2.5	1.6	2.6	1.9	3.1	0.7%	(12.8%)
Other Non-interest Income	0.3	0.4	0.2	0.4	0.2	0.4	12.6%	7.2%
Net Non-Interest Income	4.2	6.5	3.9	6.1	3.6	5.9	9.8%	18.0%
Total Operating Income	11.8	18.1	11.8	18.6	8.7	14.3	0.3%	35.8%
Directors' Remuneration	0.1	0.2	0.1	0.2	0.1	0.1	8.8%	47.1%
Staff Costs	1.7	2.7	1.8	2.9	1.6	2.7	(4.9%)	6.2%
Bonuses (Paid & Accrued)	0.8	1.2	0.6	1.0	0.5	0.8	26.3%	70.5%
Other Operating Expenses	2.0	3.0	2.2	3.5	1.2	2.0	(10.4%)	64.0%
Depreciation & Amortisation	1.1	1.7	1.6	2.5	0.5	0.9	(31.3%)	104.9%
Total Operating Costs	5.7	8.7	6.3	10.0	3.9	6.4	(10.1%)	45.7%
Profit Before Provisions	6.1	9.4	5.5	8.7	4.8	7.9	12.4%	27.7%
Loan Loss Provisions	2.8	4.3	3.7	5.9	2.5	4.0	(25.7%)	13.1%
Gains on recovery	1.1	1.6	1.2	2.0	1.7	2.8	(14.1%)	(38.3%)
Net Provisions	1.7	2.6	2.5	4.0	0.7	1.2	(31.4%)	131.2%
Profit Before Tax	4.4	6.8	2.9	4.7	4.1	6.7	49.7%	8.8%
Income Tax	0.9	1.4	0.1	0.1	0.8	1.3	1535.1%	15.5%
Net Income (Loss)	3.5	5.3	2.9	4.6	3.2	5.3	20.2%	7.1%

Notes:

(1) Growth calculations are based on RwF values

(2) US\$ values have been derived from period-end RwF/US\$ exchange rates set out on page 1 of this press release

(3) All values have been rounded to the nearest one decimal place


Statement of Financial Position as at 31 March 2013

<i>IFRS based</i>	Q1 2013		YE 2012		Q1 2012		Change	Change
	Bn	Mln	Bn	Mln	Bn	Mln	Q-o-Q	Y-o-Y
	RwF	US\$	RwF	US\$	RwF	US\$		
Cash	9.6	14.8	9.6	15.2	7.4	12.1	0.0%	30.1%
Balances With BNR	13.4	20.6	18.4	29.2	4.3	7.1	(27.2%)	210.7%
Cash Balances With Banks	56.2	86.4	25.9	41.1	57.4	94.5	116.9%	(2.1%)
Treasuries	8.0	12.3	35.9	56.9	56.4	92.8	(77.7%)	(85.8%)
Other Fixed Income Instruments	15.4	23.6	13.1	20.8	15.5	25.5	17.1%	(0.9%)
Gross Loans	208.8	321.1	194.0	307.6	137.8	227.0	7.7%	51.6%
Loan Loss Reserve	10.4	16.0	8.9	14.1	5.4	8.9	16.6%	91.9%
Net Loans To Clients	198.4	305.1	185.1	293.5	132.4	218.1	7.2%	49.9%
Net Investments	0.2	0.3	0.2	0.3	0.2	0.4	0.0%	0.0%
Net Property, Plant & Equipment	21.6	33.2	21.6	34.3	20.1	33.1	(0.2%)	7.5%
Intangible Assets	0.4	0.7	0.3	0.5	0.1	0.2	26.1%	189.6%
Net Other Assets	13.2	20.2	12.6	20.0	9.3	15.3	4.2%	41.9%
Total Assets	336.4	517.2	322.8	511.9	303.0	499.2	4.2%	11.0%
Interbank Deposits	18.6	28.6	18.4	29.2	17.1	28.2	1.1%	8.8%
Client Balances & Deposits	210.1	323.0	208.4	330.5	203.7	335.5	0.8%	3.1%
Borrowed Funds	16.4	25.2	5.9	9.4	5.1	8.4	175.7%	222.8%
Dividends payable	5.9	9.1	5.9	9.3	-	-	(0.0%)	0.0%
Other Liabilities	18.8	28.9	21.0	33.3	12.3	20.3	(10.4%)	52.5%
Total Liabilities	269.8	414.8	259.7	411.8	238.2	392.4	3.9%	13.3%
Ordinary Shares	6.7	10.3	6.7	10.6	6.7	11.0	0.0%	0.0%
Reserves	49.2	75.6	43.2	68.5	47.2	77.8	13.9%	4.1%
Revaluation Reserve	7.3	11.2	7.4	11.7	7.7	12.6	(1.4%)	(5.3%)
Retained Earnings	3.5	5.3	5.9	9.3	3.2	5.3	(41.0%)	7.1%
Shareholder's Equity	66.6	102.4	63.1	100.1	64.8	106.8	5.5%	2.7%
Total liabilities & Shareholders' Equity	336.4	517.2	322.8	511.9	303.0	499.2	4.2%	11.0%

Notes:

(1) Growth calculations are based on RwF values

(2) US\$ values have been derived from period-end RwF/US\$ exchange rates set out on page 1 of this press release

(3) All values have been rounded to the nearest one decimal place



Key Performance Ratios as at 31 March 2013

Quarterly ratios are annualised, where applicable

	Q1 2013	Q4 2012	Q1 2012	YE 2012	YE 2011	YE 2010
Profitability						
Return on Average Assets, %	4.2%	3.8%	4.4%	3.9%	3.6%	3.5%
Return on Average Equity, %	21.4%	18.5%	20.5%	18.9%	18.6%	24.5%
Net Interest Margin, %	11.2%	12.7%	8.2%	9.6%	8.4%	8.3%
Loan Yield, %	17.6%	23.5%	16.4%	17.0%	16.9%	15.8%
Interest Expense/Interest Income, %	21.1%	24.9%	24.5%	26.0%	26.8%	25.6%
Cost of Funds, %	3.0%	4.3%	2.8%	3.4%	3.1%	2.8%

Efficiency

Cost/Income Ratio	48.0%	53.6%	44.7%	52.8%	48.4%	47.5%
Costs/Average Assets, %	6.9%	8.3%	5.3%	6.6%	5.9%	5.8%
Personnel Costs/Total Recurring Operating Costs	46.2%	40.2%	55.6%	49.0%	51.8%	52.3%
Personnel Costs/Average Total Assets, Annualised	3.2%	3.3%	2.9%	3.3%	2.9%	3.0%
Personnel Costs/Total Operating Income	22.2%	21.6%	24.9%	25.9%	25.1%	25.0%
Net Income/Total Operating Income	29.5%	24.6%	37.4%	30.7%	29.5%	29.2%
Total Operating Income/Average Assets %	14.3%	15.4%	11.8%	12.6%	12.1%	12.1%

Liquidity

Net Loans/Total Assets, %	59.0%	57.3%	43.7%	57.3%	42.8%	51.3%
Liquid Assets / Total Deposits	44.8%	45.4%	63.8%	45.4%	64.9%	47.3%
Interbank Borrowings / Total Deposits	8.1%	8.1%	7.8%	8.1%	9.5%	12.2%
Short-term Liquidity Gap	49.4%	46.4%	47.4%	46.4%	43.0%	11.9%
Gross Loans / Total Deposits	91.3%	85.5%	62.4%	85.5%	65.3%	68.3%

Asset Quality

NPLs / Gross Loans, %	6.6%	6.5%	6.1%	6.5%	8.3%	8.5%
NPL Coverage Ratio	75.8%	70.3%	64.3%	70.3%	69.1%	45.8%
Loan Loss reserve / Gross Loans, %	5.0%	4.6%	3.9%	4.6%	5.8%	3.9%
Average Loan Loss reserve / Average Gross Loans, %	4.8%	5.1%	4.8%	5.1%	4.9%	4.3%
Large Exposures / Gross Loans	6.5%	6.5%	4.6%	6.5%	8.8%	14.3%
Cost of Risk, Annualised	3.4%	6.2%	2.2%	2.2%	3.8%	2.0%
Leverage (Total Liabilities/Equity), Times	4.1	4.1	3.7	4.1	3.7	5.2

Capital Adequacy

Core Capital / Risk Weighted Assets	22.1%	22.4%	28.6%	22.4%	28.1%	18.7%
Total Qualifying Capital / Risk Weighted Assets	22.8%	23.2%	29.6%	23.2%	29.1%	20.1%
Off Balance Sheet Items / Total Qualifying Capital	539.6%	524.3%	375.5%	524.3%	363.1%	351.2%
Large Exposures / Core Capital	23.7%	22.6%	11.1%	22.6%	21.3%	61.1%
NPLs less Provisions / Core Capital	5.8%	6.8%	5.3%	6.8%	6.2%	19.7%

Market Sensitivity

Forex Exposure / Core Capital	-2.1%	-50.2%	9.8%	-50.2%	11.7%	11.5%
Forex Loans / Forex Deposits	0.9%	1.0%	0.9%	1.0%	0.8%	1.0%
Forex Assets / Forex Liabilities	109.4%	61.0%	126.1%	61.0%	105.3%	106.7%
Forex Loans / Gross Loans	0.2%	0.3%	0.3%	0.3%	0.3%	0.4%
Forex Deposits/Total Deposits	25.3%	25.7%	23.9%	25.7%	23.8%	27.4%

Selected Operating Data

Full Time Employees	871	877	628	877	602	454
Assets per FTE (RwF in billion)	0.4	0.4	0.5	0.4	0.5	0.4
Number of Active Branches	60	57	47	57	44	33
Number of Mobibank	5	5	-	5	-	-
Number of ATMS	59	55	26	55	26	26
Number of POS Terminals	484	405	265	405	202	97
Number of Retail current accounts	215,398	191,632	143,422	191,632	124,248	50,073



Definitions

- 1 Return On Average Total Assets (ROAA) equals Net Income of the period divided by average Total Assets for the same period;
- 2 Return On Average Total Equity (ROAE) equals Net Income of the period divided by average Total Shareholders' Equity for the same period;
- 3 Average Interest Earning Assets are calculated on a quarterly basis; Interest Earning Assets include: Cash & Balances With Banks, Treasuries and Net Loans To Clients;
- 4 Net Interest Margin equals Net Interest Income of the period divided by Average Interest Earning Assets for the same period;
- 5 Loan Yield equals Interest Income of the period on loans & advances divided by average Gross Loans for the same period;
- 6 Cost Of Funds equals Interest Expense of the period divided by average Total Liabilities for the same period;
- 7 Total Operating Income includes Net Interest Income and Non-Interest Income;
- 8 Costs include Total Recurring Operating Costs and Bonuses (Paid and Accrued);
- 9 Cost/Income equals Total Recurring Operating Costs plus Bonuses (Paid and Accrued) for the period divided by Total Operating Income;
- 10 Personnel Costs/Total Recurring Operating Costs equals the sum of Directors' Remuneration, Staff Costs and Bonuses (Paid and Accrued) for the period divided by Total Recurring Operating Costs ;
- 11 Personnel Costs/Average Total Assets equals the sum of Directors' Remuneration, Staff Costs and Bonuses (Paid and Accrued) for the period divided by average Total Assets ;
- 12 Client Deposits include Corporate and Retail deposits;
- 13 Liquid Assets include Cash, Cash Balances With the NBR, Cash Balances With Banks, Treasuries and Other Fixed Income Instruments;
- 14 Total Deposits include Interbank Deposits and Client Deposits;
- 15 Shareholders' Equity equals to Total Shareholders' Equity;
- 16 Short Term Liquidity Gap equals net liquid assets with maturities equal to or less than 2 years divided by total assets;
- 17 NPLs are loans overdue by more than 90 days
- 18 NPL Coverage ratio equals Loan Loss Reserve as of the period end divided by NPLs as of the same period;
- 19 Large exposures include loans that in aggregate comprise 10% of Core Capital;
- 20 Cost Of Risk equals Net Provision For Loan Losses of the period, plus provisions for (less recovery of) other assets, divided by average Gross Loans To Clients for the same period;
- 21 Total Capital Adequacy equals Total Qualifying Capital as of the period end divided by Total Risk Weighted Assets as of the same date, both calculated in accordance with the requirements of the National Bank of Rwanda.
- 22 Y-o-Y refers to year on year change on the Rwf values
- 23 Q-o-Q refers to quarter on quarter change on the Rwf values
- 24 YE refer to Year End figures as at 31 December.